

Business Responsibility Report 2021-22

{Pursuant to Regulation 34 of SEBI (Listing Obligations and Disclosure Requirements), Regulations 2015}

Section A – General Information About The Company

Details of the Listed entity		
1.	Corporate Identity Number (CIN) of the Company	L51311WB2002PLC094677
2.	Name of the Company	VEDANT FASHIONS LIMITED
3.	Registered Address	Paridhan Garment Park, 19 Canal South Road, SDF-1, 4th Floor, A501-A502, Kolkata 700015
4.	Website	www.vedantfashions.com
5.	E-mail ID	secretarial@manyavar.com
6.	Telephone	91 033 61255353
7.	Financial Year reported	2021-2022
8.	Name of the Stock Exchanges where shares are listed	BSE Limited (BSE) and National Stock Exchange of India Limited (NSE)
9.	Sector(s) that the Company is engaged in (industrial activity code-wise)	Wearing Apparel and Accessories (NIC Code – 1410)
10.	List three key products / services that the Company manufactures / provides (as in balance sheet)	Sherwanis, Indo-Western and Kurta
11.	Total number of locations where business activity is undertaken by the Company	
	i. Number of International Locations	Nil
	ii. Number of National Locations	Registered & Corporate Office: - Paridhan Garment Park, 19 Canal South Road, Kolkata 700015 Manufacturing/ Warehouse Units: - Part-C, Block-A, Srijan Industrial Logistics Park, NH-6, Bombay Road, Mohiary, Chandni Bagan, Dhulagarh, Howrah-711302, West Bengal 2nd, 3rd & 4th Floors, Block-15, Regent Garment & Apparel Park, 64/1/1/26, Jessore Road (East) Barasat, Kolkata-700124, West Bengal Note: The details of only the major locations where manufacturing and warehousing activities are carried out have been included above.
12.	Markets served by the Company	National / International
13.	Reporting Boundary (Disclosures under this report made on standalone or on a consolidated basis)	Standalone

Section B – Financial Details of The Company

1.	Paid up Capital (INR)	INR 242.70 Millions
2.	Total Turnover (INR)	INR 10,087.45 Millions
3.	Total Profit after Taxes (INR)	INR 3,083.54 Millions
4.	i. Whether CSR is applicable as per section 135 of the Companies Act, 2013	Yes
	ii. Turnover (in INR)	INR 10,087.45 Millions
	iii. Net Worth (in INR)	INR 10,841.31 Millions
	iv. Total Spending on Corporate Social Responsibility (CSR) as percentage of average Net profit of the Company for last 3 financial years (INR)	The Company's total spending on CSR for the year ended March 31, 2022 was INR 52.05 millions which is 2.002% of the average net profit of previous three (3) financial years calculated as per Section 198 of the Companies Act, 2013.
5.	List of activities in which expenditure in 4 above has been incurred:	Environment, Sustainability & Animal Welfare, Healthcare, Education.

Section C – Other Details

1.	Does the Company have any Subsidiary Company/ Companies?	Yes. The Company has 1 (one) wholly-owned Subsidiary viz. Manyavar Creations Private Limited.
2.	Do the Subsidiary Company / Companies participate in the Business Responsibility (BR) initiatives of the Parent Company? If yes, then indicate the number of such subsidiary company(ies)?	The Subsidiaries are encouraged to participate in the BR initiatives of the Company.
3.	Do any other entity / entities (e.g. suppliers, distributors, etc.) that the Company does business with, participate in the BR initiatives of the Company? If yes, then indicate the percentage of such entity / entities? [Less than 30%, 30-60%, More than 60%]	No

Section D – Business Responsibility ('BR') Information

Details of Directors Responsible for BR / Details of the BR Head

Name	Designation	DIN No.	Telephone Number	Email ID
Mr. Ravi Modi	Chairman & Managing Director	00361853	03361255353	secretarial@manyavar.com

Principle-wise BR Policy as per National Voluntary Guidelines:

The National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business released by the Ministry of Corporate Affairs has adopted nine areas of Business Responsibility. These are as follows:

P-1	Businesses should conduct and govern themselves with Ethics, Transparency and Accountability.
P-2	Businesses should provide goods and services that are safe and contribute to sustainability throughout their life cycle
P-3	Businesses should promote the well-being of all employees.
P-4	Businesses should respect the interests of, and be responsive towards all stakeholders, especially those who are disadvantaged, vulnerable and marginalized.
P-5	Businesses should respect and promote human rights.
P-6	Businesses should respect, protect and make efforts to restore the environment.
P-7	Businesses, when engaged in influencing public and regulatory policy, should do so in a responsible manner.
P-8	Businesses should support inclusive growth and equitable development.
P-9	Businesses should engage with and provide value to their customers and consumers in a responsible manner.

Principle-wise BR Policy / Policies [Reply in Yes (Y) / No (N)]

Respect and integrity for its people, environment and other businesses have always been the major motives of your Company while fulfilling its responsibilities. Your Company believes in maintaining the highest standards of corporate behavior towards people / entities it works with, the communities it has a "connect" with, and the environment it thrives on.

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	Do you have policy / policies for...	Y	Y	Y	Y	Y	Y	N	Y	Y
2.	Has the policy been formulated in consultation with the relevant stakeholders?	Y	Y	Y	Y	Y	Y	N.A.	Y	Y
3.	Does the policy conform to any national / international standards? If yes, specify?	The policies are based on the 'National Voluntary Guidelines on Social, Environmental and Economic Responsibilities of Business' released by the Ministry of Corporate Affairs.						N.A.	Same as the comment under P1 to P6	
4.	Has the policy been approved by the Board? If yes, has it been signed by MD / owner / CEO / appropriate Board Director?	Y	N	N	Y	Y	N	N.A.	Y	N
5.	Does the Company have a specified Committee of the Board / Director / Official to oversee the implementation of the policy?	Y	Y	Y	Y	Y	Y	N.A.	Y	Y
6.	Indicate the link for the policy to be viewed online	View restricted to the relevant stakeholders						N.A.	View restricted to the relevant stakeholders	
7.	Has the policy been formally communicated to all relevant internal and external stakeholders?	The policies have been communicated to key internal stakeholders of the Company. The communication is under an on-going process to cover all stakeholders with the best efforts possible.						N.A.	Same as the comment under P1 to P6	
8.	Does the Company have in-house structure to implement the policy / policies?	Y	Y	Y	Y	Y	Y	N.A.	Y	Y
9.	Does the Company have a grievance redressal mechanism related to the policy/policies to address stakeholders' grievances related to the policy / policies?	Y	Y	Y	Y	Y	Y	N.A.	Y	Y
10.	Has the Company carried out independent audit / evaluation of the working of this policy by an internal or external agency?	The Company is working on developing and improving its process for evaluating the implementation of the policies. The policies are evaluated internally from time to time and updated whenever required.						N.A.	Same as the comment under P1 to P6	

If answer to the question above against any principle, is 'No', please explain why: (Tick upto 2 options)

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
1.	The Company has not understood the principle	-	-	-	-	-	-	-	-	-
2.	The Company is not at a stage where it finds itself in a position to formulate and implement the policies on specified principles?	-	-	-	-	-	-	-	-	-
3.	The Company does not have financial or manpower resources available for the task	-	-	-	-	-	-	-	-	-

No.	Questions	P1	P2	P3	P4	P5	P6	P7	P8	P9
4.	It is planned to be done within the next six months	-	-	-	-	-	-	-	-	-
5.	It is planned to be done within the next one year	-	-	-	-	-	-	-	-	-
6.	Any other reasons (please specify)	-	The Policy has been approved by the relevant department head and implemented	The Policy has been approved by the relevant department head and implemented	-	-	The Policy has been approved by the relevant department head and implemented	The Company doesn't have any stated policy on influencing public and regulatory policy. However, it is a member of certain business and industrial associations	-	The Policy has been approved by the relevant department head and implemented

Governance related to BR

- (a) Indicate the frequency with which the Board of Directors, Committee of the Board or CEO to assess the BR performance of the Company. Within 3 months, 3-6 months, Annually, More than 1 year

The Company's shares got listed at BSE Limited and National Stock Exchange of India Limited on Wednesday, February 16, 2022. This is the first time that the provisions of BR have become applicable to the Company. Going forward, it is envisaged that the BR performance will be reviewed annually. We believe that such an annual review of BR performance will play a crucial role in enabling enhanced performance and alignment of business with stakeholder needs year on year.

- (b) Does the Company publish a BR or a Sustainability Report? What is the hyperlink for viewing this report? How frequently it is published?

The BR report is published as part of our annual report disclosures and is available online at www.vedantfashions.com.

Section E – Principle-Wise Performance

Principle 1: Businesses Should Conduct and Govern Themselves with Ethics, Transparency and Accountability.

The Company has defined the Code of Conduct for its Directors and employees that cover issues related to ethics, workplace responsibilities and conflict of interest. It also covers dealings with suppliers, customers and other business associates. The Company has also put in place a Whistle Blower Policy in order to enable employees and others to bring to the notice of Board and management, any wrongdoing or unethical practices observed in the Company. The suppliers / contractors / business associates dealing with the Company are also encouraged to maintain ethical standards in all their practices.

The Company also complies with Code of Practices and Procedures for Fair Disclosure of Unpublished Price Sensitive Information (UPSI). Concerned employees are covered by this Code of conduct for prevention of insider trading, pursuant to SEBI (Prohibition of Insider Trading) Regulations, 2015 as amended. These policies are reviewed periodically and

updated as required. Any non-compliance with these policies is viewed seriously by the Compliance Officer and Board and actions commensurate with proven violations are initiated as required.

The aforementioned Codes/Policies have been uploaded on the website of the Company viz. www.vedantfashions.com under the "Investors" section.

During the financial year 2021-22, the Company has not received any complaints in relation to ethics, bribery or corruption. No fines/penalties/punishments/award/compounding fees/settlement amount being paid in proceeding with regulators/law enforcement agencies/judicial institution by the Company or by any of the directors of the Company. No disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption.

Principle 2: Businesses Should Provide Goods and Services that are safe and Contribute to Sustainability Throughout their Life Cycle.

The Company operates primarily in the manufacturing and trading of readymade garments being celebration wear for men, women and kids. The brands of the Company strive to source all products responsibly and sustainably. To do this, the Company ensure that the workers in our supply chain are treated with dignity and respect.

The Company is committed to environment sustainably. The Company works towards reduction and optimal utilization of energy, water, raw material, logistics etc. by incorporating new techniques and innovative ideas. As consumption per unit depends on the product mix, there are no specific standards to ascertain reduction achieved at each product level. The Company's products do not have any broad-based impact on energy and water consumption by consumers. The Company has a formal Quality Control (QC) process to ensure appropriate quality of products delivered.

The Company endeavours to focus on protection of environment, stakeholders' interest and cost effectiveness while procuring any raw material or goods. The main raw materials are procured from manufacturers/ producers who are well reputed keeping in mind the need for quality and consistency. Adequate steps are taken for safety during

transportation and optimization of logistics, which, in turn, help to mitigate the impact on climate.

Supply chain of the apparel sector is very complex in nature & operates in highly competitive business environment. Therefore, not only the performance of organization is critical but also the performance of the vendors/jobbers. Even though we place utmost importance on regular audits, our approach towards our vendors/jobbers is collaborative which involves regular engagement. The Company procures accessories, raw materials, finished goods and carry out job work of various manufacturing processes from local and small vendors as well. While doing so, continuous interaction (including financial support, knowledge and deputation/visits to share the technical know-how and train the staff) is carried out with regards to development and execution. The Company continued to support and encourage vendors & jobbers for their growth during the COVID-19 pandemic. The Company also offered employment to local artisans & embroidery workers across India.

Hazardous Waste is disposed following guidelines and regulations to ensure zero waste to landfill.

Principle 3: Businesses Should Promote The Well-Being of all Employees

Employees are the key asset of any Company. It is our constant endeavour to provide a safe, productive and positive environment for our employees, thus supporting them, so that they are able to maintain a healthy work-life balance, and develop their professional as well as personal skills.

The details with respect to the employees of the Company have been mentioned hereunder:

- Total number of employees- 704
- Total number of employees hired on temporary / contractual / casual basis - 295
- Number of permanent women employees - 87
- Number of permanent employees with disabilities- Nil
- Percentage of permanent employees is members of this recognized employee association - N.A.
- Number of complaints relating to child labour, forced labour, involuntary labour, sexual harassment in the financial year and pending, as on the end of the financial year - Nil.
- Percentage of under mentioned employees that were given safety & skill up-gradation training in the last year

- Permanent Employees - 92.76%; Permanent Women Employees - 75.86%; Casual/ Temporary/ Contractual Employees - 7.80%; Employees with disabilities - N.A.

Your Company takes a rigid stand against the barbaric practices relating to child labour, forced labour, involuntary labour and discriminatory employment. The Policy on Prevention of Sexual Harassment at Workplace (POSH) has been adopted across the organisation to ensure a work environment that is professional and mature, free from animosity, and one that reinforces the Company's value of integrity, that includes respect for the individuals.

Your company has taken sufficient measures for the well-being of employees by providing Health insurance, etc. The Company has also provided retirement benefits to its employees.

Your Company has been able to create an environment which promotes the concept of respecting every employee, at all levels and henceforth, your Company has not received any complaints with regard to child labour/ forced labour/ involuntary labour, sexual harassment or discriminatory employment during the period under review.

Principle 4: Businesses Should Respect The Interests of, and Be Responsive Towards all Stakeholders, Especially Those who are Disadvantaged, Vulnerable and Marginalized.

Internal and external group of stakeholders have been identified. Presently the given stakeholder groups have the immediate impact on the operations and working of the company. This includes Employees, Shareholders & Investors, Customers, Communities and Vendors.

The Company has also identified specific areas like empowering underprivileged/vulnerable stakeholders, which help them to improve their standard of living.

The Company is committed to making differences in the lives of under privileged and economically challenged citizens. In line with the Company's CSR philosophy and policy, it takes various initiatives in the area of Health, Education, Improvement in lives of people in weak section of society and Women Empowerment for betterment of such stakeholders.

Principle 5: Businesses Should Respect and Promote Human Rights.

The Company remains committed to respect and protect human rights. The Company's Code of Business Conduct & Ethics and the human resource practices cover most of the aspects. The Company does not hire child labour, forced labour or involuntary labour. This practice extends across the Company's Group.

The Company has not received any human rights related stakeholder's complaints during the financial year ended on March 31, 2022.

Principle 6: Businesses Should Respect, Protect and Make Efforts to Restore The Environment.

The Company's policy on this principle is extended to its subsidiary which follow and adopt the practices/policies of the Company.

We strive to positively contribute towards a sustainable ecosystem by ensuring the highest level of responsibility and transparency in our business operation. Adhering to all environmental compliances, we constantly innovate and work towards mitigating environmental risks and upgrading our existing measures.

For instance, all warehouses/ offices/ stores' premises are equipped with energy efficient solutions (LED). The Company has also purchased electrical car for saving energy and to increase our sustainability footprint. The Company aims at getting with sustainability year after year.

In line with the Company's commitment towards conservation of energy, all its units continue with their efforts to reduce wastage, optimise consumption and also to improve energy efficiency through innovative measures.

Yes, the Company has a mechanism to identify and assess risks including environmental risks.

The Emissions/Waste generated by the Company, if any, are within the permissible limits given by Central Pollution Control Board (CPCB)/ State Pollution Control Board (SPCB). No show cause/ legal notices have been received from CPCB/ SPCB during the year under review.

Principle 7: Businesses, When Engaged in Influencing Public and Regulatory Policy, Should do so in a Responsible Manner.

Your Company's collaborations with industrial / commercial associations and academia demonstrates its approach towards addressing sustainability challenges faced by the society.

Your Company aims to create an environment that encourages supportive deliberations made in a responsible way. Your Company has its representation in several business and industrial associations such as Confederation of Indian

Industry, Bharat Chamber of Commerce, Retailers Association of India, The Clothing Manufacturers Association of India, Eastern India Garment Manufacturers & Exporters Federation etc.

Your Company ensures that these platforms are effectively utilised to address key issues which affect the industry.

Principle 8: Businesses Should Support Inclusive Growth and Equitable Development

The Corporate Social Responsibility (CSR) spend of the Company during the year was INR 52.05 Millions.

The CSR Committee of the Board sets the direction and focus areas for CSR Policies, Strategies, Programmes and initiatives. It also outlines the detail CSR budget and the CSR plan. This is presented and approved by the Board of Directors. The CSR Committee monitors the implementation of the initiatives that are approved by the Board.

The Company has been actively contributing to various Foundations/Trusts that conduct heart surgeries of underprivileged children. It supports children vulnerable to exploitation, victimization and trafficking, including orphans, street children, abandoned children and extremely impoverished children from tribal areas through the following organizations:

Manas Foundation:

Manas Foundation is a non-profit, private charitable organization, under the trusteeship of Mr. Ravi Modi and Mrs. Shilpi Modi (Promoters of the Company) and Mr. Vedant Modi. It strives to help children with heart ailments, conduct surgeries and treat children born with Congenital Heart Disease.

Friends of Tribal Society (FTS):

A voluntary organization committed to the upliftment of tribals and other deprived communities in rural India by providing basic education to their children and offering villagers health care, development and empowerment education. We believe literacy is the key to progress. The Company has also assisted in establishing various Ekal Vidyalayas - One Teacher Schools (OTS) in tribal areas across the country.

Parivaar – West Bengal's largest free Residential Institution for Children:

A humanitarian service organization, based in 24 Parganas in West Bengal, working for complete care and overall development of orphans, girls who are highly vulnerable to exploitation, victimization and trafficking with its own formal school 'Amar Bharat Vidyapeeth' for resident children.

The impact assessment of CSR activities during the year 2021-22 was not mandatorily applicable to the Company. The CSR spending for the year 2021-22 was INR 52.05 Millions, reaching out to numerous beneficiaries through various initiatives including COVID-19 prevention and support measures.

Principle 9: Businesses Should Engage with and Provide Value to Their Customers and Consumers in a Responsible Manner.

A well-established mechanism is in place for dealing with customer feedback and complaints. Customers are provided multiple options to connect with the Company through email, telephone, website, social media, feedback forms, etc. All complaints are appropriately addressed and all efforts are taken to resolve the same. Any complaint received are cleared on ongoing and priority basis.

The Company adheres to all legal statutes with respect to product labelling and display of product information. The

Company also displays product information on the product's label. The information on products and services of the entity can be accessed from <https://www.vedantfashions.com/>.

No cases were filed by any stakeholder against the Company regarding unfair trade practices, irresponsible advertising and/or anti-competitive behavior during the last five years.

Consumer feedback Surveys are periodically taken to assess the consumer satisfaction levels and consumer trends.